

Thorp was completely unaware of the transgressions of the Princeton office and only found out that there was a problem at the time of the raid itself. The Princeton office defendants were not forthcoming with information, and Thorp learned more about the case from the press than from his partner. Thorp was never charged or for that matter even interviewed. However, his firm had been irreparably damaged. A few months after the indictments, Thorp decided to close down PNP. Delegating the transaction and business side of his firm had been a major convenience, but it allowed for actions to occur that destroyed his hedge fund, despite having arguably the single best return/risk track record in the industry.

Following the closure of PNP, Thorp maintained the Newport office, where he continued to trade his own account. During 1990 to 1992, he focused primarily on trading Japanese warrants, which he found to be broadly mispriced. He eventually was forced to abandon this strategy when the dealers dramatically widened their bid/ask spreads, wiping out about half the potential profit on each trade.

Thorp had successfully traded a statistical arbitrage strategy since the mid-1980s. In 1992, he was asked to run the strategy for a large institutional client. Two years later, he started his second hedge fund, Ridgeline Partners, to open the statistical arbitrage strategy to other investors. Ridgeline traded very actively, averaging about 6 million shares per day and accounting for about $\frac{1}{2}$ percent of total NYSE volume. Thorp ran the strategy over 10 years. He averaged a 21 percent average annual compounded return with only a 7 percent annualized volatility—another remarkable track record.

After closing down Ridgeline in 2002 (for reasons discussed in the interview), Thorp devoted his time to managing his allocations to other hedge funds. He also developed a trend-following system, which he traded from late 2007 until early 2010.

I interviewed Thorp over a two-day period in his large, light-filled Newport Beach office, which had a 180-degree view with the Pacific Ocean to the west and the surrounding towns to the north. Thorp is 78, but his physical vigor and mental sharpness belie his age. A fitness enthusiast all his life, he continues a routine that includes running, walking, and working out with a physical trainer twice a week. His memory was remarkably precise, as he often cited not only the year of many past events, but the